

Deal Terms Benchmark

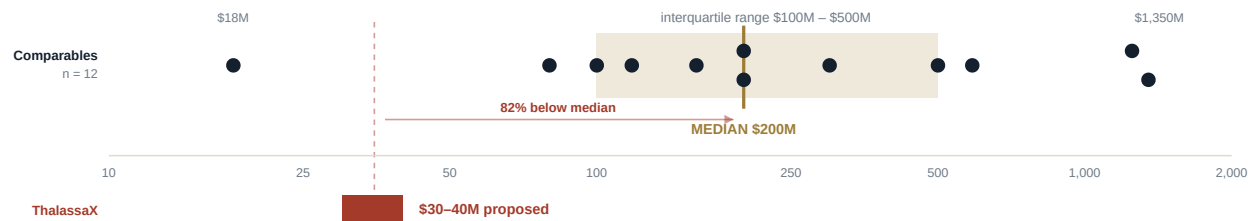
Proposed NewCo economics measured against comparable transactions

Prepared for	Subject	Source	Date
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Your June 2026 materials propose a NewCo capitalized around a \$30–40M upfront to Chipscreen, \$415–640M in milestones, a 6–12% royalty, and a retained 25% equity stake. This note measures those terms against China-origin oncology transactions that have actually cleared. It is a working sample of the Term Validation deliverable in Phase 1 — comparables only, no valuation model.

WHERE YOUR PROPOSED UPFRONT SITS

UPFRONT CONSIDERATION — \$M, LOG SCALE



82%

BELOW THE MEDIAN
COMPARABLE UPFRONT (\$35M
MIDPOINT VS. \$200M)

1:15

YOUR MILESTONE-TO-
UPFRONT RATIO — THE 75TH
PERCENTILE OF THE
COMPARABLE SET

\$563M

YOUR TOTAL HEADLINE VALUE
VS. A \$2,100M COMPARABLE
MEDIAN

6–12%

YOUR ROYALTY BAND;
DISCLOSED COMPARABLES
REACH 14–20% AT THE TOP
END

Three observations

- 1. The upfront is the outlier, not the structure.** Your milestone and royalty terms sit inside the comparable range. The upfront does not. Only one transaction in the set cleared below \$80M, and none of the small-molecule comparables did — Ascentage/Takeda, the closest structural analogue to Chiauranib, cleared at \$100M upfront on a Phase 2 asset with ex-China rights.
- 2. Back-loading compounds the gap.** At 1:15, your milestone-to-upfront ratio is more back-loaded than three-quarters of the comparable set, whose median is 1:10.5. A low upfront with a heavy back end is the signature of a China-origin discount already priced in — before a buyer applies one of their own.
- 3. Counterparty selection moves the number more than the asset does.** In 2025 Hengrui licensed to GSK at \$500M upfront and to Glenmark at \$18M upfront. Different assets, but a 28× spread from one licensor in one year. Which counterparties are approached, in what sequence, and under what competitive tension is not a detail of execution — it is most of the outcome.

THE COMPARABLE SET

YEAR	TRANSACTION	STAGE	MODALITY	TERRITORY	UPFRONT	TOTAL	RATIO
2026	3SBio → Pfizer	Phase 3	Bispecific	Ex-China	\$1,250M	\$6,050M	1:3.8
2026	Genhouse Bio → Gilead	Phase 1	Small molecule	Global	\$80M	\$1,530M	1:18.1
2025	3SBio → Pfizer	Phase 2	Bispecific	Ex-China	\$1,350M	\$6,300M	1:3.7
2025	Hengrui → GSK	Phase 1	Small molecule	Ex-China	\$500M	\$12,500M	1:24.0
2025	LaNova → BMS	Phase 1	Bispecific	Global	\$200M	\$2,750M	1:12.8
2025	Hengrui → Glenmark	Phase 2	HER2 ADC	Ex-China	\$18M	\$1,100M	1:60.1
2024	LaNova → Merck	Phase 2	Bispecific	Ex-China	\$588M	\$3,300M	1:4.6
2024	Innovent → Sanofi	Phase 3	mAb	Ex-US	\$300M	\$2,300M	1:6.7
2024	Kelun-Biotech → AbbVie	Phase 2	ADC	Ex-US	\$200M	\$1,400M	1:6.0
2024	Hengrui → Merck	Phase 3	mAb	Ex-US	\$160M	\$1,600M	1:9.0
2024	Hansoh → Merck	Phase 2	HER2 ADC	Ex-US	\$118M	\$1,900M	1:15.1
2024	Ascentage → Takeda — closest structural analogue	Phase 2	Small molecule	Ex-China	\$100M	\$1,300M	1:12.0
Median					\$200M	\$2,100M	1:10.5
ThalassaX proposed (midpoint)					\$35M	\$563M	1:15.1

Criteria: China-origin licensor, oncology, Phase 1–3, out-licensing, announced 2023–2026, disclosed upfront and total value. Terms as publicly disclosed; total value is headline and includes undiscounted milestones.

WHAT THE RETAINED EQUITY HAS TO BE WORTH

The comparison is deliberately not apples-to-apples, and the difference is the point: a NewCo trades cash today for equity upside tomorrow. So the question is not whether \$35M is low — against this set it plainly is. It is whether the 25% stake covers the difference.

THE BRIDGE

To match the \$200M median upfront in cash-equivalent terms, the 25% stake must be worth roughly **\$165M at close** — implying a NewCo post-money of about **\$660M**. Against a stated raise of \$100–150M, that is the number to pressure-test before terms go to investors. At a \$300M post-money — plausible for that raise — the stake is worth \$75M and total consideration is roughly **\$110M**: about half the median comparable upfront, two-thirds of it illiquid equity.

None of this argues against the NewCo route. But the trade should be sized before it is made — and these terms price the assets nearer the bottom of the comparable range than the middle.

WHAT PHASE 1 WOULD RESOLVE

- **The defensible upfront range** for Chiauranib and CS231295, individually and as a pair — from risk-adjusted NPV, calibrated against this set rather than anchored to it.
- **NewCo versus out-licensing versus hybrid**, with the equity bridge modeled properly — probability-weighted, time-discounted, tested against realistic financing scenarios.
- **Whether the pair is the right pair**, and which evidence moves the upfront most per dollar spent — PDAC data of this quality is the strongest argument against a China-origin discount you have.

Comparables drawn from Solidus, filtered to hand-audited transactions with disclosed terms. Prepared without access to ThalassaX confidential data; Phase 1 work would proceed under CDA.